Cobaltine Industrial Partners III

Quarterly Report to Limited Partners - Q4 2019

As of December 31, 2019

SYNTHETIC - NOT A REAL FUND

This fund, its general partner and every value in this report are invented for a training exercise. The portfolio companies are real public companies; their financial figures come from public filings.

Fund Summary

Item	Value
Fund name	Cobaltine Industrial Partners III
Fund ID	F02
Vintage year	2015
Report date	2019-12-31
Total commitments (USD 000s)	950,000
Called capital (USD 000s)	810,062
Net asset value (USD 000s)	881,265

Manager Commentary

Portfolio performance. MCDERMOTT INTERNATIONAL INC reported fiscal 2019 revenue of $8.4 billion, up 25.7% from the prior year; HUNTSMAN CORP reported fiscal 2019 revenue of $6.8 billion, down 10.6% from the prior year; EMERSON ELECTRIC CO reported fiscal 2019 revenue of $18.4 billion, up 5.5% from the prior year. Figures are taken from each company's annual report on Form 10-K.

Companies reporting a net loss for fiscal 2019: MCDERMOTT INTERNATIONAL INC ($2.9 billion), UNITED STATES STEEL Inc ($630 million), UNIVAR SOLUTIONS INC ($100 million). The manager continues to monitor these positions.

Corporate actions. UNIVAR SOLUTIONS INC filed with the SEC as Univar Inc. until August 2019; NEWMONT GOLDCORP CORP filed with the SEC as NEWMONT MINING CORP until April 2019.

Schedule of Investments

Portfolio company (as reported)	Sector	Cost (USD 000s)	Fair value (USD 000s)	Ownership
FLEETCOR TECHNOLOGIES INC	Industrials	51,520	55,087	0.13%
Rexnord Corp	Industrials	29,925	54,448	1.78%
ALLEGHENY TECHNOLOGIES INC	Materials	104,833	90,313	1.19%
EMERSON ELECTRIC CO	Industrials	75,270	102,256	1.81%
CSX CORP	Industrials	77,196	98,737	1.38%
UNIVAR SOLUTIONS INC	Industrials	79,101	53,229	0.47%
HUNTSMAN CORP	Materials	89,900	122,857	2.48%
NEWMONT GOLDCORP CORP	Materials	70,457	41,462	2.14%
UNITED STATES STEEL Inc	Materials	49,542	59,840	1.61%
MCDERMOTT INTERNATIONAL INC	Industrials	88,384	125,340	0.81%
PPG INDUSTRIES Incorporated	Materials	40,216	45,365	2.95%
Total		756,344	848,934	